became evident that the pro-British elements in the country had put their weight behind Sir William Lamond, the Managing Director of the Imperial Bank of India. There was also talk of appointing an eminent London financial expert to the post. It had been tentatively suggested that a more well-known person like Sir Otto Niemeyer should be appointed as Governor but this found no support from the Central Board. As Deshmukh observed in his memoirs many years later, 'The Government of India, who were running a war without popular support, thought it risky to appoint an Indian to succeed Taylor.'[12]

Taylor's demise caught the government off-guard. Even the ordinance empowering Deshmukh to exercise the functions and powers of the Governor was issued only on February 22, five days after his demise. It seems that the government was not keen to entrust Deshmukh even with the temporary exercise of the Governor's function. Nor was the government in any hurry to call for a meeting of the Central Board. Neither were the Directors of the Board in any hurry, for they used this time to mobilize support for their candidate, Deshmukh. The elected members of the Board, (particularly B.M. Birla) under the leadership of Purshotamdas started to actively canvass support for Deshmukh's candidature. Among the Directors only one was inclined to favour a non-Indian, and later he too was won over. As Deshmukh observes in his memoirs, 'From the second week[13] of February to August 13, 1943, when I was notified as Governor of the Reserve Bank, the period was a tangled mass of moves, countermoves, communication and replies concerning the filling of the post of Governor.'[14]

A First for India

Purshotamdas waited for some lead from the government before the April 5 meeting of the Board but there was no initiative from the government. By now the Board was well aware that the government was inclined to favour a candidate other than Deshmukh and had made it clear that the names being bandied about were unacceptable to it. The government sought to make terms with the Board by 'pledging themselves in advance to appoint Deshmukh as Governor after three years during which the banker they had selected was to be the Governor.'[15] An attempt was also made to induce Deshmukh to stand down in the public interest which Deshmukh refused to